By mid 1963, the radicals led by Tin Pe had won the fight and would determine Burma's economic policy for the foreseeable future. Aung Gyi resigned from the government and would later be detained by the authorities. Any members of the government or military that had supported Aung Gyi were removed from their posts. Many experts believed that under Te Pin's stewardship Burma was heading toward communism. The role played by Ne Win in the economic decision making taken in Myanmar at this time is unclear.

One of the top priorities of Tin Pe's plan was rapid nationalization of all sectors of the economy. Banking as well as factories and export trade were all nationalized. The “Tenancy Law Amending Law” was passed in 1965, which freed peasants from obligations to landlords. The state control over the economy continued to increase with the passage of the “Law Empowering Action in Furtherance of the Construction of the Socialist Economic System of 1965.” The state had a near-total monopoly over the means of production.

Opposition to these economic policy changes quickly occurred. The shortage of consumer goods and the emergence of a thriving black market played into this discontent. Burma was no longer a significant exporter of rice. Loan defaults were on the rise and a general lack of confidence in the economic system was apparent.

With the economic turmoil engulfing Myanmar, Ne Win decided to rehabilitate Aung Gyi. Over the next two years Gyi's influence increased, while Tin Pe was forced into a subservient role until his eventual retirement in 1970. The damage done by the economic mismanagement of Tin Pe would not be easily countered.

In the early 1970s, steps were taken to introduce free-market concepts into Burma. Once government rice quotas were met, the extra amount could be sold on the open market. Government prices were well below the free market, leading to minimal delivery to the government. Prices remained high and the population in general was frustrated and angry at the authorities.

Labor unrest spread, and rail workers and several state facilities went on strike. The authorities used excessive force to suppress the workers on several occasions. According to Michael Charney in *A History of Modern*